

ECON 1550 International Finance

# The II-XX Model

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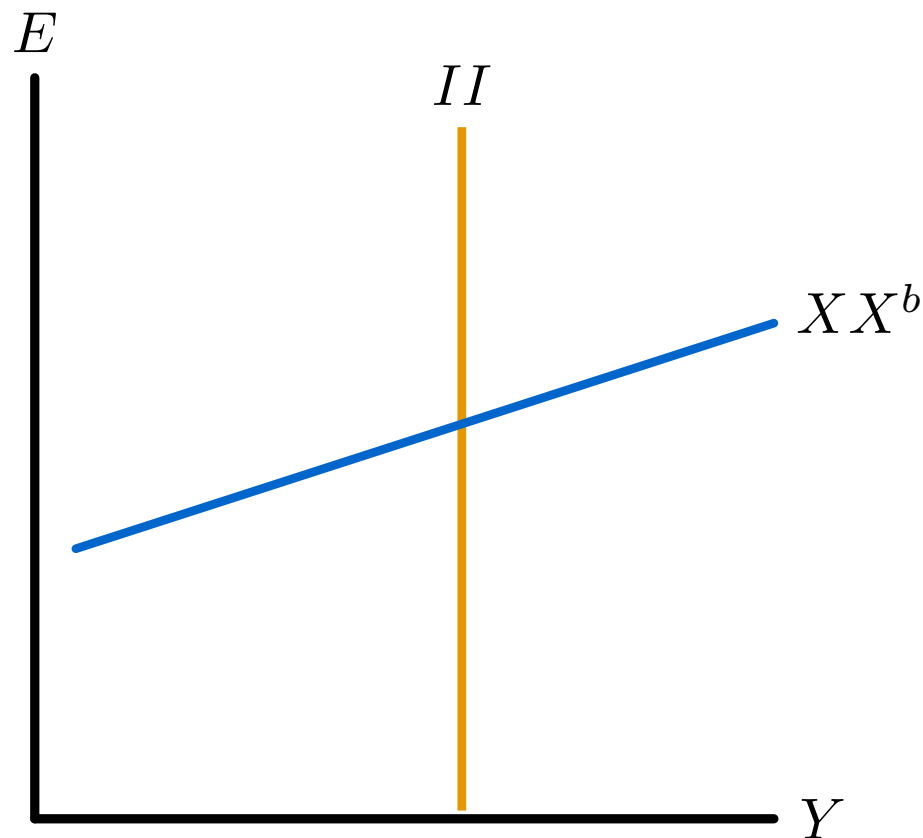
- Start with minimal assumptions
  - There are numbers  $Y^f$  and  $XX^b$  such the economy tends to  $Y = Y^f$  and  $CA = XX^b$  in the long run
  - $Y = Y^f$  and  $CA = XX^b$  are desirable economically or politically
  - Monetary and fiscal policy cannot influence  $Y^f$  and  $XX^b$ , but can affect how long it takes for  $Y$  and  $CA$  to get to  $Y^f$  and  $XX^b$

# II-XX Model

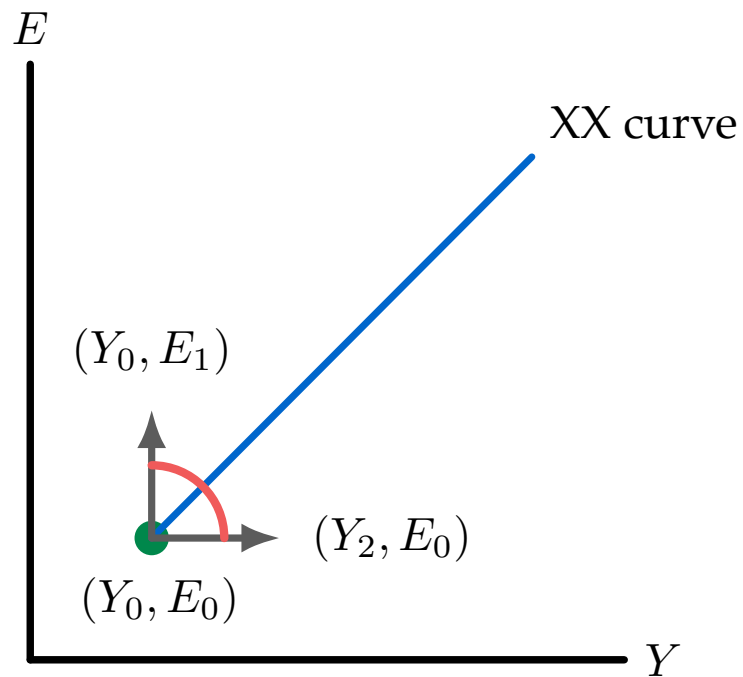
- Do not assume
  - Equilibria in any markets
  - Mechanisms for how  $Y$  and  $CA$  approach  $Y^f$  and  $XX^b$

# Internal and External Balance

- *II* curve:  $(Y, E)$  consistent with **internal balance**  
 $Y = Y^f$
- *XX* curve:  $(Y, E)$  consistent with **external balance**  
 $CA = XX^b$

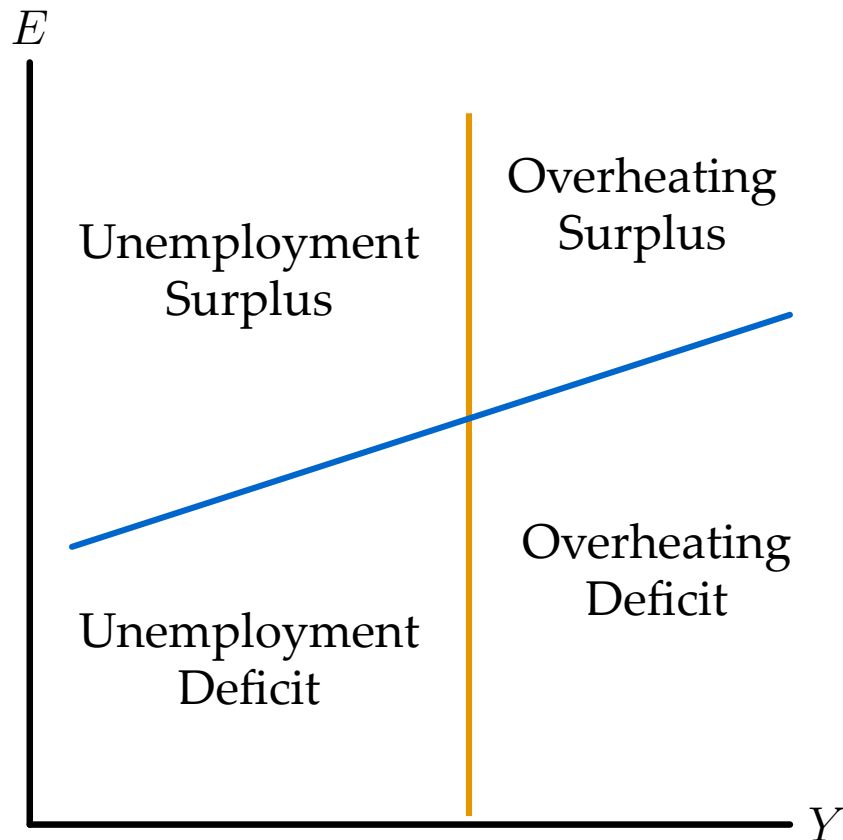


# The XX curve is upward sloping



# Four Zones of Discomfort

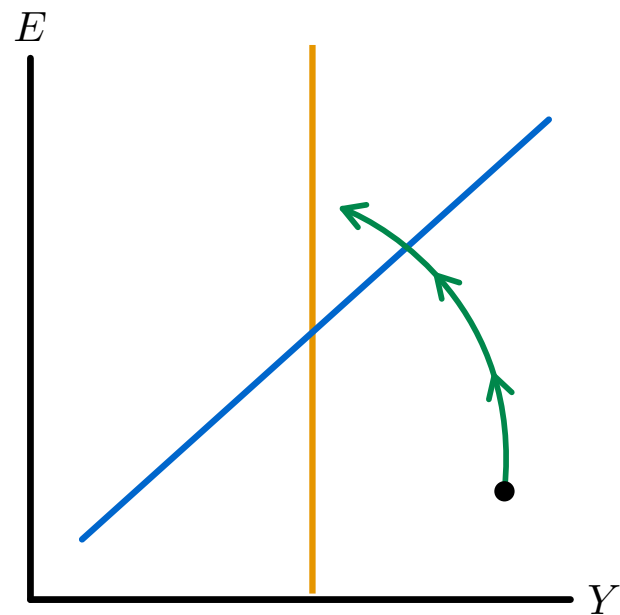
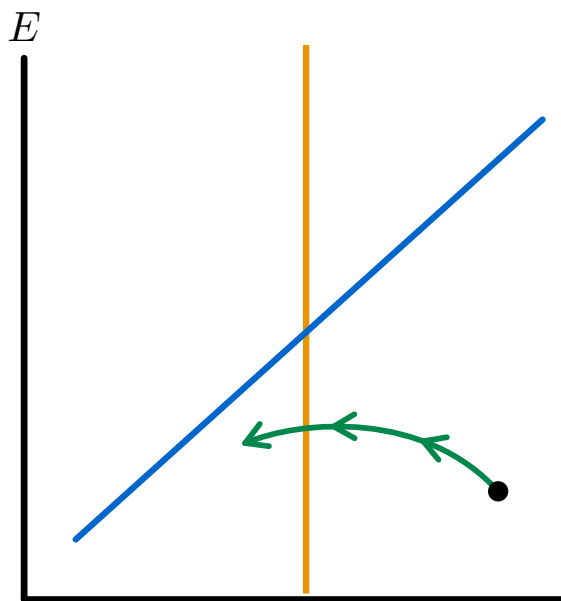
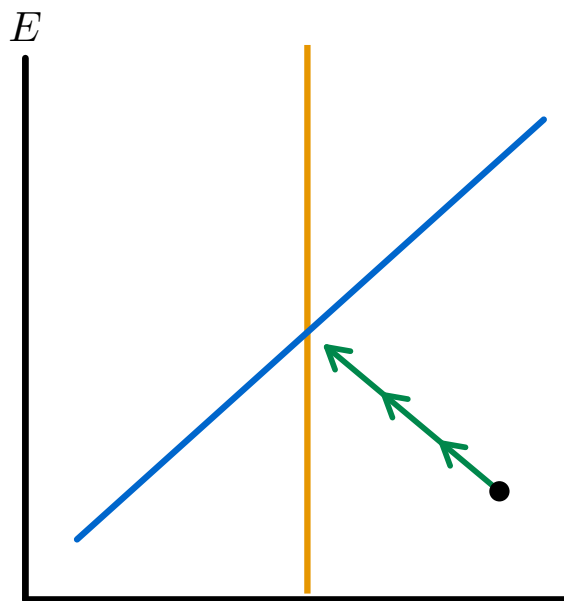
- Lack of internal balance:
  - Overheating when  $Y > Y^f$
  - Unemployment when  $Y < Y^f$
- Lack of external balance:
  - Deficit when  $CA < XX^b$
  - Surplus when  $CA > XX^b$



# Dynamics

- Only dynamics specified are that, in the long run:
  - Output adjusts to  $Y^f$
  - Current account adjusts to  $XX^b$
- Can take a long time to return to balance
- Government policy can speed up return to balance

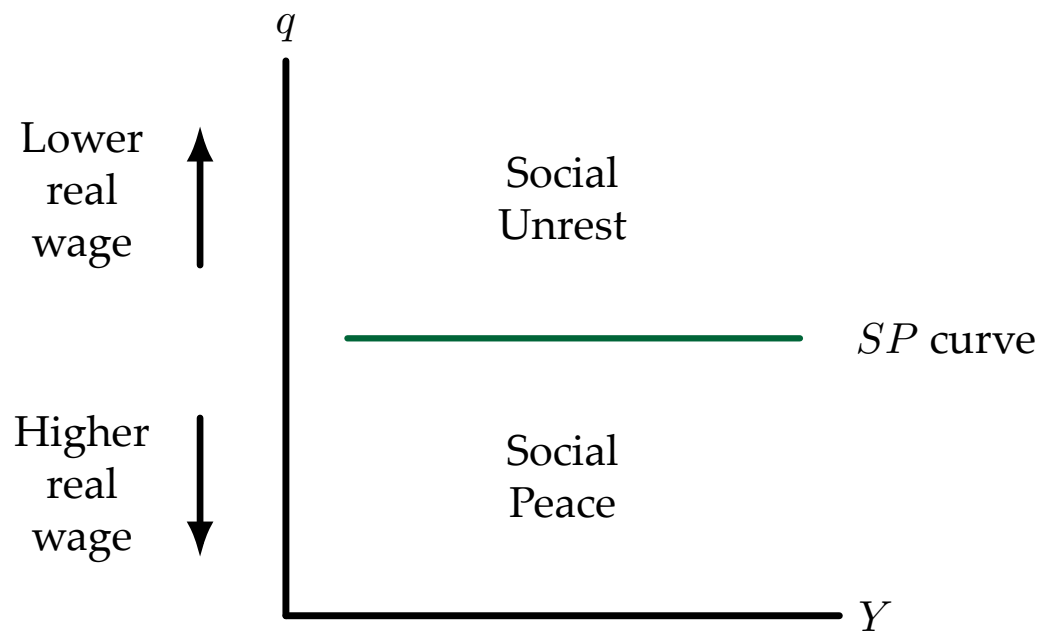
# Possible Dynamics





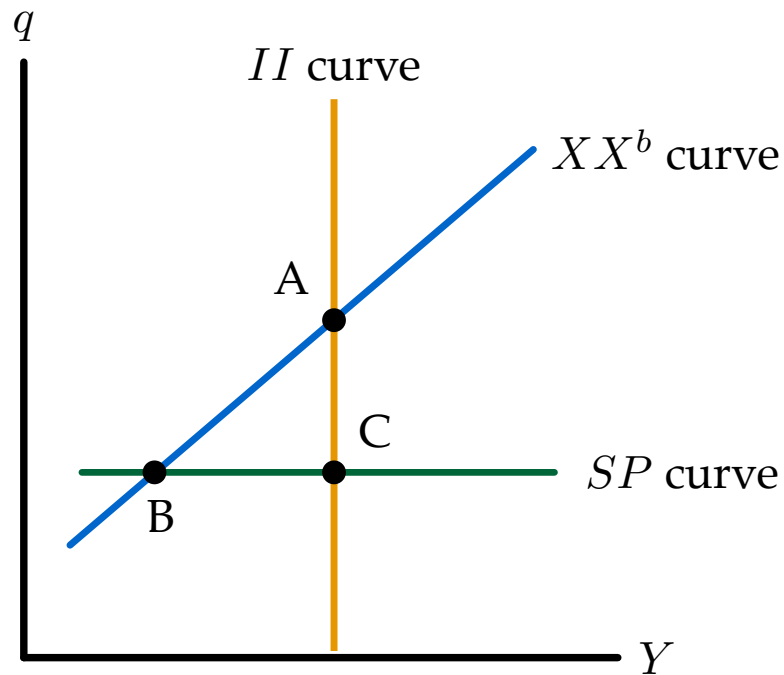
# Social Peace

- When real wages are too low, **social unrest**
- Real depreciation associated with lower real wage



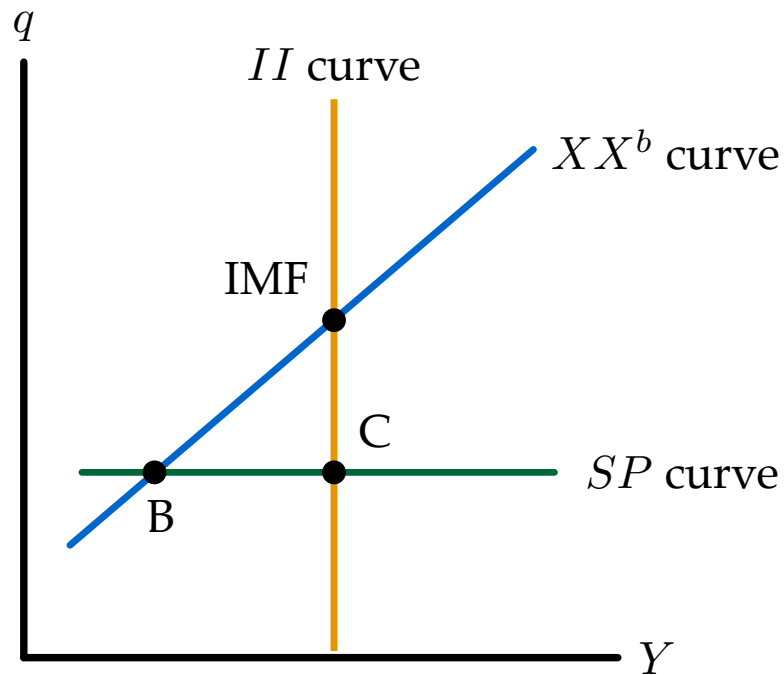
# Economic and Social Objectives in Conflict

| Point | Internal Balance | External Balance | Social Peace | Name |
|-------|------------------|------------------|--------------|------|
| A     | ✓                | ✓                | Unrest       |      |
| B     | Unemployment     | ✓                | ✓            |      |
| C     | ✓                | Deficit          | ✓            |      |



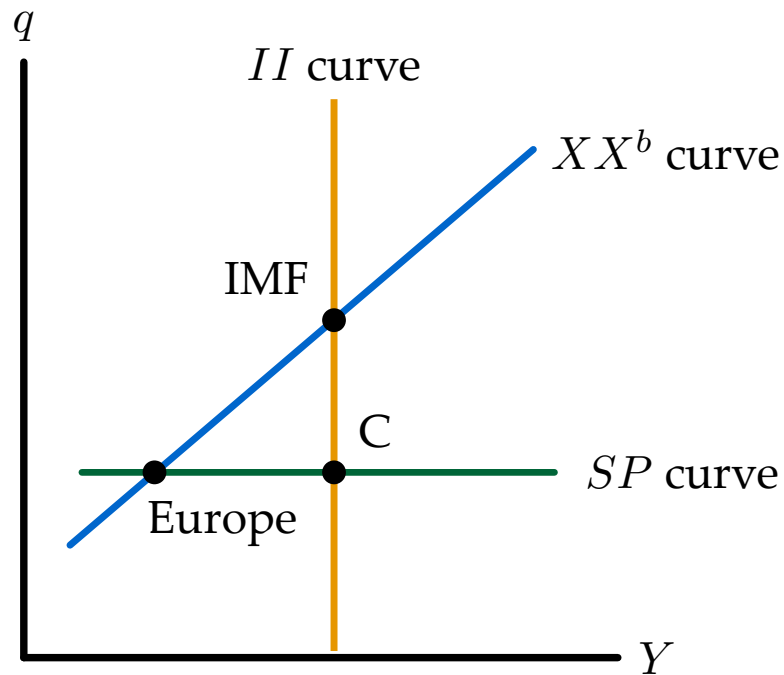
# Economic and Social Objectives in Conflict

| Point | Internal Balance | External Balance | Social Peace | Name |
|-------|------------------|------------------|--------------|------|
| A     | ✓                | ✓                | Unrest       | IMF  |
| B     | Unemployment     | ✓                | ✓            |      |
| C     | ✓                | Deficit          | ✓            |      |



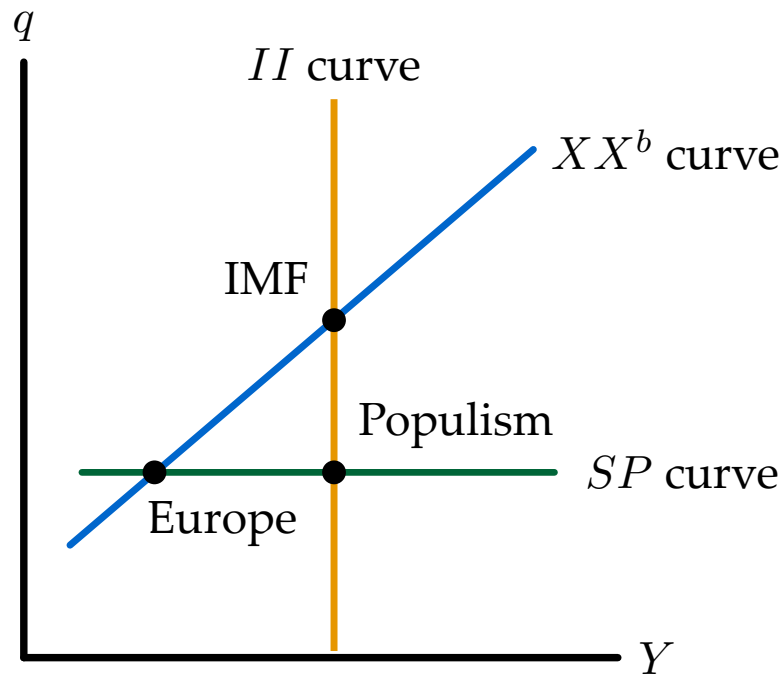
# Economic and Social Objectives in Conflict

| Point | Internal Balance | External Balance | Social Peace | Name   |
|-------|------------------|------------------|--------------|--------|
| A     | ✓                | ✓                | Unrest       | IMF    |
| B     | Unemployment     | ✓                | ✓            | Europe |
| C     | ✓                | Deficit          | ✓            |        |



# Economic and Social Objectives in Conflict

| Point | Internal Balance | External Balance | Social Peace | Name     |
|-------|------------------|------------------|--------------|----------|
| A     | ✓                | ✓                | Unrest       | IMF      |
| B     | Unemployment     | ✓                | ✓            | Europe   |
| C     | ✓                | Deficit          | ✓            | Populism |



# The Latin Triangle

- Economy cycles: IMF  $\rightarrow$  Europe  $\rightarrow$  Populism  $\rightarrow$  IMF  $\rightarrow$  ...
- Describes Latin America *scarily* well
- No easy solutions

